

25STCV38124 25STCV38124

County: los-angeles

Division: Civil Law and Motion

Department: 732

Hearing date: 2026-09-18

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C732%2C09%2F18%2F2026

Source SHA-256: 6ac5d5c57fd6535037e5cb994065cad08a70ffcd1bebbecbcecf4a45ae44e

Case Number: 25STCV38124 Hearing Date: September 18, 2026 Dept: 732

Ariel Diaz v. Regal Cinemas, Inc., et al.

Friday, September 18, 2026

CASE NUMBER: 25STCV38124

UNOPPOSED

Plaintiff Ariel Diaz's Motion for Preliminary Approval of Class Action Settlement and PAGA Settlement.

Facts: This is a PAGA action. The Complaint alleges as follows. Plaintiff Ariel Diaz ("Plaintiff") worked for Defendant Regal Cinemas, Inc. ("Defendant"). (Complaint ¶ 7.) Defendant did not pay Plaintiff or its other California employees for meal and rest breaks, did not pay owed overtime compensation, failed to pay minimum wages, failed to pay wages due on termination, failed to reimburse them for business expenses, and did not provide accurate wage statements or keep accurate payroll records. (Complaint ¶¶ 39–48.)

Procedural History: Plaintiff filed the Complaint on December 29, 2025, alleging one cause of action under the Private Attorneys General Act ("PAGA").

On April 14, 2026, the parties filed a stipulation to permit Plaintiff to file a First Amended Complaint, adding 12 class action causes of action for wage-and-hour violations, pursuant to a mediated settlement between the parties. The stipulation has not yet been approved by the court.

A notice of settlement was filed on April 16, 2026.

On April 24, 2026, nonparty Janise Cohen filed a notice of coordination petition, indicating that Cohen had previously filed a PAGA action against Defendant in Sacramento County, 25CV002521, Cohen v. Regal Cinemas, and that a petition had been

filed to coordinate the cases.

Plaintiff filed the present motion for preliminary approval of class action and PAGA settlement on May 6, 2026.

This court on June 16, 2026, continued hearing on the present motion to solicit additional briefing on the Cohen matter and the petition for coordination.

Plaintiff filed a supplemental declaration in support of the motion on September 11, 2026.

Discussion:

PRELIMINARY APPROVAL OF CLASS SETTLEMENT

"Any party to a settlement agreement may serve and file a written notice of motion for preliminary approval of the settlement. The settlement agreement and proposed notice to class members must be filed with the motion, and the proposed order must be lodged with the motion." (CRC Rule 3.769, subd. (c).) "The court may make an order approving or denying certification of a provisional settlement class after the preliminary settlement hearing." (CRC Rule 3.769, subd. (d).)

"If the court grants preliminary approval, its order must include the time, date, and place of the final approval hearing; the notice to be given to the class; and any other matters deemed necessary for the proper conduct of a settlement hearing." (CRC Rule 3.769, subd. (e).) "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (CRC Rule 3.769, subd. (f).)

Before granting final approval of class settlements, courts grant preliminary approval of the class settlement, grant conditional certification of the class, approve the forms and methods of class notice, and set a final hearing. (See *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 232.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement." [Citations.] The list of factors is not exclusive and the court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. [Citation] Consistent with our standard of review on appeal, we do not reweigh these factors or substitute our notions of fairness for those of the trial court. [Citation.]

Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement. [Citation.] The court must therefore scrutinize the proposed settlement agreement to the extent necessary to "reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." [Citation.]

The burden is on the proponent of the settlement to show that it is fair and reasonable. However "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small."

(Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 244–45.)

Procedural Issues

At the time the present motion was filed, the operative Complaint contained only claims under the Private Attorneys General Act ("PAGA"). On April 14, 2026, the parties stipulated to file an amended complaint alleging 12 new causes of action asserted on a class basis. At the time the present motion was filed, the stipulation was not approved by the court. The court here approves the stipulation, and deems the First Amended Complaint ("FAC") filed on April 14, 2026.

This court previously continued hearing on the present motion to permit additional briefing on the petition for coordination, notice of which was filed by nonparty Janise Cohen on April 24, 2026. In a supplemental declaration, Plaintiff's counsel states that a hearing was held on the coordination petition on September 3, 2026, and the court there noted the pendency of the present motion, stating in its order that coordination was not advisable given that approval of the PAGA settlement in this matter could effectively moot the concurrent action to be coordinated, pending in Sacramento County as Cohen v. Regal Cinemas, Case No. 25CV002521.

It appearing that the coordination petition's resolution now awaits resolution of the pending settlement in this matter, the court proceeds to address the merits of the motion.

Terms of the Settlement

Defendant Regal Cinemas, Inc. ("Defendant") has agreed with Plaintiff Ariel Diaz ("Plaintiff") to settle pending class and PAGA claims for a gross settlement payment of \$3.1 million. (Bass Decl. Exh. 2, ¶ 43.) From this amount shall be deducted attorney fees, not to exceed 35% of the gross settlement (\$1,085,000), and costs not to exceed \$25,000.00. (Id. at ¶ 59.) Settlement administrator costs, currently estimated not to exceed \$30,000.00, are to be deducted from the gross settlement amount as well. (Id. at ¶ 42.) The gross also includes a \$310,000.00 PAGA payment, to encompass PAGA penalties paid to the Labor Workforce Development Agency and aggrieved employees. (Id. at ¶ 28.) This is finally to include a \$10,000 payment to Plaintiff as class representative. (Id. at ¶ 58.)

The yields an anticipated Net Settlement Amount of \$1,640,000.00 to be distributed to class members, which considered in addition to the 35% of the PAGA payment likewise to be distributed, yields an estimated total amount of \$1,748,500.00 to be distributed to class members. The payments to class members and aggrieved employees will be determined by the settlement administrator, Simpluris, Inc., on a pro rata per-pay-period basis. (Bass Decl. Exh. 2 at ¶¶ 56, 57.) The estimated class size is 7,000 people, identified as individuals who worked for Defendant in California during the class period of August 1, 2023 through June 7, 2026. (Bass Decl. ¶ 16, Exh. 2 ¶¶ 5–6.)

The agreement includes releases of all class claims and PAGA claims including violations of the Labor Code in accord with the facts alleged in the FAC, limited to those claims that arose during the class period. (Bass Decl. Exh. 2 at ¶¶ 35, 36, 49, 50.) Plaintiff's personal release includes a waiver under Civil Code § 1542.

Conditional Class Certification

"To obtain certification, a party must establish the existence of both an ascertainable class and a well-defined community of interest among the class members." (Sotelo v. MediaNews Group, Inc. (2012) 207 Cal.App.4th 639, 647, disapproved on other grounds in Noel v. Thrifty Payless, Inc. (2019) 7 Cal.5th 955.) "The party advocating class treatment must demonstrate the existence of an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternatives. The community of interest requirement involves three factors: (1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class." (Noel, supra, 7 Cal.5th

at p. 968, internal citations and quotation marks omitted.)

The proposed class here is suitable for conditional class certification. The class is numerous, consisting of an estimated 7,000 persons, for which piecemeal litigation of the same claims would be inefficient. The class is ascertainable, as the identities and contact information for the individuals concerned may be obtained from Defendant's employment records. Plaintiff also presents evidence that a community of interest exists, as the evidence adduced during discovery in this matter demonstrates consistent recordkeeping policies and practices across Defendant's California operations, meaning that violations would be proved through Defendant's uniform operations, to which Plaintiff was subject as much as any other class member. (Bass Decl. ¶¶ 17–18.) Plaintiff's counsel also testifies to their experience litigating prior class actions, and thus their adequacy as representatives of the proposed class. (Bass Decl. ¶¶ 19–24.)

Accordingly, conditional class certification is appropriate.

Notice of Settlement

The settlement agreement indicates that, following preliminary approval, information regarding the class shall be delivered to the settlement administrator, who shall mail notices of settlement to the addresses of the class members, as indicated in the class information provided to it, cross-referenced with the United States Postal Service's change-of-address database. (Bass Decl. Exh. 2 at ¶ 52(a).) Class members shall have 45 days from the mailing of the notices to submit, by mail, objections, requests for exclusion, or disputes concerning the workweeks and proposed payments indicated on the settlement notice. (Id. at ¶ 39.)

The proposed notice is attached as an exhibit to the motion and the settlement agreement. (Bass Decl. Exh. 2 (Exh. A).) CRC Rule 3.766 requires the notice to contain:

- (1) A brief explanation of the case, including the basic contentions or denials of the parties;
- (2) A statement that the court will exclude the member from the class if the member so requests by a specified date;
- (3) A procedure for the member to follow in requesting exclusion from the class;
- (4) A statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and
- (5) A statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel.

(CRC Rule 3.766, subd. (d).) The proposed notice contains the information required by this rule. The notice also contains information concerning the process for submitting objections, disputing the offered payment amount, and appearing at the final hearing.

However, additional information would assist the court in determining whether preliminary approval of the proposed notice procedures is appropriate. Specifically, the settlement and declarations contemplated included in the motion state that the notice shall be sent only in English. (Bass Decl. Exh. 2, ¶ 52.) It is not apparent whether this monolingual approach is sufficient to confer notice to class members.

Payment Procedures

The settlement does not require the class members or aggrieved employees to submit any claim in order to receive payment. The agreement is expressly a non-reversionary settlement, and any amounts not paid or payable will not be returned to Defendant. (Bass Decl. Exh. 2, ¶ 55.) Checks shall be negotiable for 180 days after mailing, and checks not cashed, deposited, or deliverable to class members will be deposited with the State of California's Unclaimed Property Division. (Id. at ¶ 62.)

Fairness & Reasonableness

Additional information is required to assess the fairness and reasonableness of the settlement before a determination is made regarding preliminary approval. Plaintiff presents evidence that the settlement was reached through mediation a little more than three months after the complaint was filed. Plaintiff's counsel presents a declaration attesting to their diligent analysis of the relative strengths of the claims and defenses at play, and their conclusion that the settlement is reasonable. (Bass Decl. ¶¶ 26–31.) But this analysis is offered in generalities, and includes no information concerning the potential or realistic exposure Defendant faces with regard to these claims, or the potential impediments to their victorious prosecution.

The evidence thus does not permit the court to independently evaluate the reasonableness of the settlement. Where class counsel offers their own evaluation to satisfy the requirement of reasonableness, the court should be "presented with data permitting it to review class counsel's evaluation of the sufficiency of the settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 131.) Plaintiff here does not present the court with information or analysis that would permit the court to evaluate "the nature and magnitude of the claims being settled, as well as the impediments to recovery." (Id. at p. 133.) Thus additional information is required to evaluate the relative reasonableness of the settlement before preliminary approval is granted.

Accordingly, hearing on the present motion is CONTINUED to permit additional briefing on the following issues:

The sufficiency of an English-only settlement notice; and

The nature and magnitude of the claims being settled, as well as the impediments to recovery

The stipulation filed on April 14, 2026, concerning the First Amended Complaint is approved, and the FAC is deemed filed as of that date.

Superior Court of California

County of Los Angeles

Department 732

ARIEL DIAZ.,

Plaintiffs,

v.

REGAL CINEMAS, INC., et al.,

Defendants.

Case No.: 25STCV38124

Hearing Date: September 18, 2025

[TENTATIVE] RULING RE:

Plaintiff Ariel Diaz's Motion for Preliminary Approval of Class Action Settlement and PAGA Settlement.

Hearing on Plaintiff Ariel Diaz's Motion for Preliminary Approval of Class Action Settlement and PAGA Settlement is CONTINUED to permit additional briefing on the following issues:

The sufficiency of an English-only settlement notice; and

The nature and magnitude of the claims being settled, as well as the impediments to recovery

The stipulation filed on April 14, 2026, concerning the First Amended Complaint is approved, and the FAC is deemed filed as of that date.

Plaintiff to give notice.

Dated: September 18, 2025

Hon. Richard S. Kemalyan

Judge of the Superior Court